

BUY BUCKS

With several buy-backs underway, investors need to distinguish between genuine value enhancement and blatant ramping up of share prices

■ By Mallini Bhupta

If you are a retail investor and have bought some of India's frontline stocks in 2007, then chances are that your investment has halved in value this year. With the benchmark Sensex crashing by almost 39 per cent from its historical peak of 21,000 points in January, Indian stock markets are deemed to have officially entered the bearish phase, where sentiments have hurt even those scrips with strong fundamentals. With FIIs selling equities worth Rs 238 crore daily, totalling \$7 billion (Rs 30,254 crore) in the calendar year, India has fared far worse than the other BRIC countries—China, Brazil and Russia. With negative news pouring in from all sides, it's almost as if nothing can go right for India.

So promoters confident about their earnings and those wistful about the high market-cap days are now concocting a cocktail. In a bid to prop up their stock prices and boost investor confidence, 13 companies have offered to buy back their shares from the secondary market this year. As India Inc prepares its quarterly report card, promoters are gung-ho about their own stock, even if foreign and

